

Economics in Action 1

Answers to Exercises — Exam-type questions

Chapter 2 Basic concepts in economics

Questions

pp. 24–26

1.

Facing a rapid growth in customers from the Mainland, a Hong Kong airline decided to increase the proportion of Putonghua-speaking flight attendants.

The decision is to tackle the basic economic problem(s) of _____.

- A. ‘what to produce’
- B. ‘how to produce’
- C. ‘for whom to produce’
- D. ‘what to produce’ and ‘for whom to produce’

2.

Which of the following statements are related to the problem of ‘for whom to produce’?

- (1) The eligible age for the \$2 Scheme is lowered to 60 years old.
 - (2) The Consumption Voucher Scheme is extended to citizens living in Hong Kong for more than 12 months.
 - (3) Cathay Pacific holds a lucky draw for 75,000 free air tickets in the ‘Hello Hong Kong’ campaign.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

3.

The government has a new restriction on selling its residential land: 10% of the flats must be allocated for the elderly and an elderly centre must be built.

The new restriction on land use is related to the _____ question(s) in economics.

- A. ‘what to produce’
- B. ‘how to produce’
- C. ‘for whom to produce’
- D. ‘what to produce’ and ‘for whom to produce’

4.

In response to the shortage in the residential housing market, the government has converted some existing industrial buildings into residential flats.

This is an example of using _____ to solve the problem of _____.

- A. government command 'how to produce'
- B. government command 'for whom to produce'
- C. the market mechanism 'how to produce'
- D. the market mechanism 'for whom to produce'

5.

Which of the following is a characteristic of a planned economy?

- A. Most production activities are carried out by the government.
- B. Most resources are allocated by the government.
- C. No factors of production in the economy are privately owned.
- D. There is no competition in the economy.

6.

Which of the following statements about a market economy are correct?

- (1) The government still has a role in regulating business activities in the economy.
 - (2) Most resources will be allocated by the market mechanism.
 - (3) Private property rights of all resources are well-defined.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

7.

If a planned economy turns into a market economy,

- A. scarcity will no longer exist.
- B. the unemployment rate will be higher.
- C. the income gap between the rich and the poor will be higher.
- D. more factors of production in the economy will become privately owned.

8.

Joey bought a handbag from a shop opened by a famous designer. She said, 'I have private property rights to this handbag.'

Which of the following rights would Joey have after the purchase of the handbag?

- (1) To use the handbag whenever she likes
- (2) To produce another handbag with a similar design
- (3) To leave the handbag in her wardrobe without using it
- (4) To lend the handbag to a friend and ask for lunch in return

- A. (1), (2) and (3) only
- B. (1), (2) and (4) only
- C. (1), (3) and (4) only
- D. (2), (3) and (4) only

9.

Refer to the following information:

Under the hire-before-purchase (先租後買) scheme, the driver cannot use the car for commercial purposes. No other drivers should be allowed to drive the car. The ownership will not be transferred to the buyer until the end of the scheme.

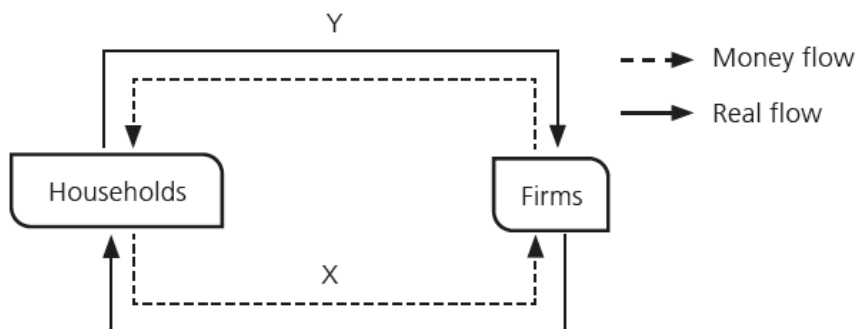
Compared with a privately owned car, _____ will be weakened for those buying a car via the above scheme.

- (1) the right to use
- (2) the right to receive income
- (3) the right to transfer

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10.

Refer to the following circular flows of economic activities.



X and Y stand for _____ and _____ respectively.

- A. households' expenditure goods and services
- B. firms' revenue factor service
- C. firms' production cost factors of production
- D. factor service firms' revenue

11.

Which of the following about a normative statement is correct?

- A. It is inconsistent with facts.
- B. No matter how much information is obtained, people may disagree with it.
- C. It contains no value judgement.
- D. It can be rejected by the data.

12.

Which of the following statements is a positive statement?

- A. The market mechanism is better than tradition in allocating resources.
- B. Governments should increase unemployment benefits during an economic downturn.
- C. Building a hospital is more important than building a government office.
- D. An increase in welfare spending will lower the employment rate.

13.

Statement 1: The low profits tax rate is one of the major reasons for the prosperity of Hong Kong.

Statement 2: Hong Kong's profits tax rate is the lowest in East Asia.

_____ is a _____ statement because _____.

- A. Statement 1 positive most people agree with it
- B. Statement 1 normative it can be refuted by the real world data
- C. Statement 2 positive data can be used to check whether it is correct
- D. Statement 2 normative value judgement is involved in the statement

14.

A Japanese railway company has introduced a rail pass for foreign tourists, allowing unlimited train rides during its validity period. The pass is non-transferable and can be purchased with a foreign passport.

Which of the following descriptions about the rail pass is/are correct?

- (1) The distribution of the rail pass involves both price and non-price competition.
 - (2) Foreign tourists have the complete set of private property rights over the rail pass.
 - (3) This is an example of using the market mechanism to solve the problem of 'for whom to produce'.
- A. (1) only
 - B. (1) and (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only

15.

To prevent youth gangs (童黨), it is suggested that any person aged under 18 be prohibited from entering convenience stores from 12 am to 6 am.

- (a) Which basic economic problem is related to such a suggestion? Explain. (2 marks)
- (b) 'The above suggestion will not help reduce youth gangs.' Explain whether this is a positive statement. (2 marks)

16.

The tickets for a show are sold on a ‘first-come, first-served’ basis. In view of the long queue, the organizer switches the selling method to a ballot. Anyone who wants to buy a ticket can register online and the winners of the ballot will be entitled to buy the ticket at the official price.

- (a) ‘There is no discrimination when selling the tickets by ballot as everyone has an equal chance to purchase the ticket.’ Do you agree? Explain. (2 marks)
- (b) ‘Selling by ballot is a fairer way than first-come, first-served.’ Is this statement a positive or normative statement? Explain your answer. (2 marks)

17.

Refer to the following information.

In the UK, government regulations require all properties to have an energy performance certificate (EPC) rating of E or higher before being let to tenants.

- (a) What are private property rights? Explain how private property rights over a property are affected by the above regulation. (4 marks)
- (b) ‘The government should further tighten the energy efficiency requirement as it reduces global warming.’ Explain whether the statement is a positive statement. (2 marks)
- (c) Explain ONE basic economic problem to which the energy efficiency requirement is related. (2 marks)

Answers

1. B

2. D

3. D

4. A

This involves the method of producing residential flats.

5. B

6. A

Option (3): Private property rights of some resources may not be well defined due to high transaction costs and inadequate legal system.

7. D

Economic performance and income distribution are not related to the types of economies.

8. C

9. D

10. B

11. B

12. D

13. C

14. C

15.

(a) It is related to 'for whom to produce' because (1 mark)

this is about who can enjoy the goods and services (i.e., services provided by convenience stores). (1 mark)

(b) It is a positive statement because (1 mark)

it is refutable by facts, i.e., data can be gathered to check whether the number of youth gangs decreased. (1 mark)

16.

(a) No. Those who are less lucky are discriminated against. (2 marks)

(b) It is a normative statement because (1 mark)

what is 'fair' contains a value judgement and is not refutable by facts. (1 mark)

17.

- (a) Private property rights refer to the exclusive right to use, the exclusive right to receive income from, and the right to transfer a private property. (1 mark)

Private property rights are weakened because (1 mark)

the exclusive right to receive income is confined as a landlord cannot rent out his/her property freely. (2 marks)

- (b) No, because (1 mark)

it involves value judgements (global warming should be tackled as a higher priority) and is not refutable by facts. (1 mark)

- (c) It is related to ‘how to produce’ because (1 mark)

it is about production methods. (1 mark)